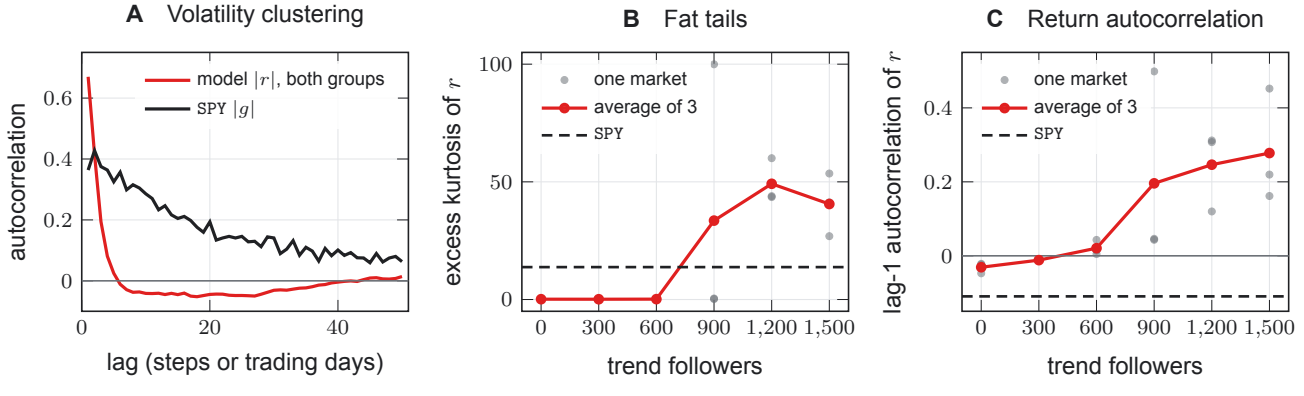
A Volatility clustering
model |r|, both groups
SPY |g|
autocorrelation
0.6
0.4
0.2
0
0
20
40
lag (steps or trading days)
B Fat tails
one market
average of 3
SPY
excess kurtosis of r
100
50
0
0
300
600
900
1,200
1,500
trend followers
C Return autocorrelation
one market
average of 3
SPY
lag-1 autocorrelation of r
0.4
0.2
0
0
300
600
900
1,200
1,500
trend followers